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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)
(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2022
LEGAL ASPECTS OF BUSINESS

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) *There are THREE sections in this question paper.*
- (ii) *Attempt questions from each section as per the directions.*
- (iii) *Make suitable assumptions wherever necessary.*

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Write short notes. Attempt all parts of the following:

(10×3=30)

- (a) Implied Contracts
- (b) Anticipatory Breach
- (c) Consideration
- (d) Misrepresentation
- (e) Indemnity
- (f) Bailment
- (g) Bills of Exchange
- (h) Hire Purchase
- (i) Public Company
- (j) Articles of Association

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) Only parties to the contract can sue or be sued. Examine the aforesaid doctrine and also its limitations.

OR

(b) Explain and examine the provisions of Contract Act in relation to “Discharge of Contract”.

Q.3. (a) People often use the two terms “Bailment” and “Pledge” interchangeably while there are many differences. Examine the above statement with proper distinction between them. Give appropriate examples to justify your points.

OR

(b) Examine the rights and duties of Pawnor and Pawnee with suitable examples.

Q.4. (a) Examine the differences between “Sale” and “Hire Purchase” with proper examples.

OR

(b) Justify “Doctrine of Caveat Emptor” and examine the exceptions of this concept.

Q.5. (a) There are many differences between Promissory Note and Bills of Exchange. Examine the statement with suitable examples.

OR

(b) Give a critical note on the differences between Private company and Public Company.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) Ramesh pledges with Haresh jewels worth Rs. 100000 and borrows Rs. 50000 at 11 % interest per annum, promising to repay the amount and redeem the jewels within a year. Haresh, having apprehension about the safety of the jewels, because of increasing the burglaries in the town, not only insures the jewels but also buys a strong s safe at a cost of Rs. 800, there being no safety vault in that town and keeps the jewels in that safe. Now when Ramesh comes to repay the loan, Haresh claims the amount due for principal and interest, cost of insurance and cost of the safe. But Ramesh admits Liability only for the principal and interest. In relation to the above case, students should first explain the relevant act and elaborate appropriate provision before justifying their stand. Further, it is expected that students should justify from the perspective of both defendant and plaintiff while defending your stand.

6(b) The liquidator of a company ABC Ltd., appointed by the court is informed by directors of the company that security deposit lying with the RB Bank is not valid as at the time of agreement with the bank for the loan against which the aforesaid security deposit was pledged, was not approved by the resolution in the meeting of the board of directors. The loan agreement was signed by two directors of the company with the bank, but the appointment of such directors was not supported by any such resolution in the meeting passed at that time. Decide the fate of this case as the liquidator has filed the case against the bank asking to refund the security deposit as the transaction was invalid. Explain the name of the Act and its appropriate provisions in this regard. Give the reference of the prominent cases wherever possible. Write your justification from the perspective of both defendant and plaintiff.